of the buying power for the extreme valuation in the stock market, as margin debt on the NYSE is hitting all-time highs once again as this book goes to press. While the upside potential for stock ownership may *feel* unlimited in the current environment, margin debt has also traced out an excellent Elliott Wave that is nearly complete, implying a reversal in that trend some time this year.

As shown by the graphs of IPO issuance and the number of mutual funds, Wall Street has been casting its nets furiously while the mullet are running. As IPO volume has soared and assets of stock funds have risen 60 times, those in finance have figured out that forming a new company or a mutual fund means instant wealth. What kind of bait are the mullet chasing? According to Kidder Peabody, the average S&P 500 company now has debt equal to 91% of stockholders' equity, up from 58% twelve years ago. Who but the euphoric would pay record prices for such little value? Consider further that the denominator, stockholders' equity, is at a record high valuation. Any slip in the market, and the average corporate debt will quickly become *greater* than equity. *Stock owners will then be paying historically high prices for the privilege of owing money.* Needless to say, that privilege will be rationalized as justified, but ultimately, reality will prevail.

This chronicle of all-time records produced by this bull market will someday make interesting reading about how it was back in the days of the Great Asset Mania. Students of the market will be studying this period in history for centuries.

The Naiveté of Today's Investor

I entered the stock market business in 1975. The typical investor at the time was very sophisticated. Why? Because anyone who was still in the game after the 1968-1974 bear market either knew something about markets beforehand or had learned a lot as a result. Today, mutual fund managers, in justifying their own advertising, continually describe the new investing public as "better educated" and "more sophisticated" than other such investors in history, but as in all other financial manias, these are everyday people, not sophisticates.

In contrast to his counterpart of 1975, today's investor is in fact outrageously *un*sophisticated. The Fidelity Fund group reported in early 1993 that over half of its new customers described themselves as "beginners" to investing; the historical average had been one-fourth. Nearly half of all mutual fund investors earn less than